TASK 4 — MINI PROJECT: MARKET RESEARCH

Stock markets vs crypto • Risk management • Future sector outlook

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Educational assignment only; not investment advice. Verify figures and source dates before submission.

Executive summary

This report compares listed equities and cryptoassets, reviews investor risk management, and considers AI/cloud computing, cybersecurity, renewable energy and healthcare. Recent snapshots through October 2026 show positive one-year total returns for three major technology stocks, while BTC, ETH and SOL showed negative price changes over approximately the same period. This illustrates that assets can diverge; neither category guarantees gains. Sector themes can create opportunities, but valuation, funding costs, regulation and execution shape investor outcomes.

1. Introduction and research questions

Stocks represent ownership in businesses and may provide returns through price appreciation and dividends. ETFs pool securities and can provide diversified exposure. Cryptoassets are digital assets associated with blockchain networks and protocols; prices can be influenced by adoption, liquidity, token economics, regulation and sentiment.

Research questions: (1) How do stocks and crypto differ in return drivers and risk? (2) Which controls can help investors manage losses and concentration? (3) Which sectors may be structurally important in coming years, and what could weaken their outlook?

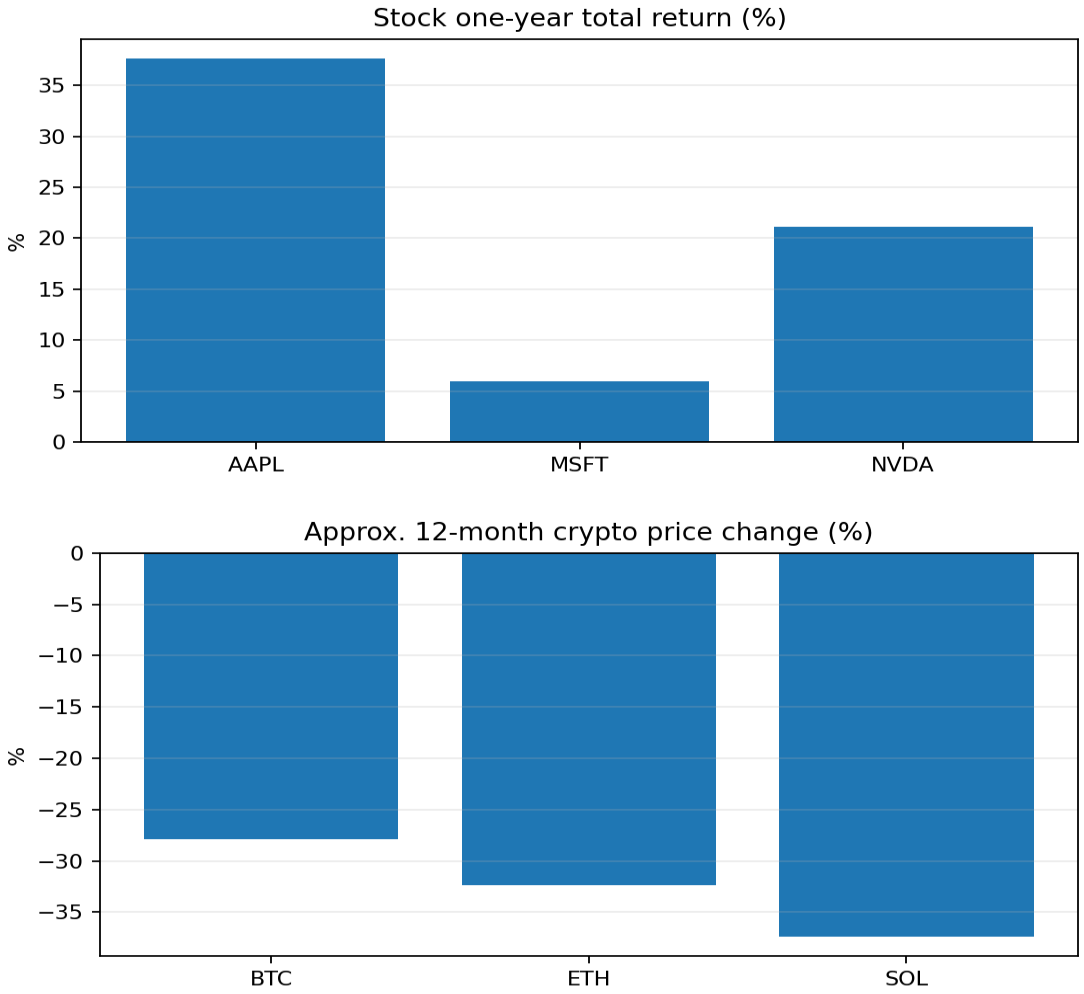
Method: Desk-based descriptive review of public market snapshots and investor-education material. Stock returns are Yahoo Finance trailing one-year total returns as of 15 Oct 2026; crypto metrics are source-reported through 11–15 Oct 2026. This is not an econometric study. Dates and return definitions differ slightly; sector outlooks are scenarios, not price forecasts.

2. Stock markets and cryptocurrency

Dimension	Stocks / ETFs	Cryptoassets
Underlying exposure	Ownership in companies; ETF may hold a basket	Digital tokens/networks; value may depend on adoption, utility, scarcity an
Return drivers	Earnings, dividends, cash flow, growth, rates and valuations	Network usage, liquidity, token supply, regulation, security and sentiment
Disclosure	Public companies have reporting duties and exchange rules	Rules and disclosures vary by asset, platform and jurisdiction.
Volatility	Can be volatile; ETFs can diversify company-specific risk	Can be extremely volatile; 24/7 trading and fragmented venues add comp
Main risks	Business failure, recession, valuation, rates and sector concentration	Scams, custody loss, hacks, protocol failure, regulation and manipul

3. Illustrative market performance

The cited one-year total-return snapshots showed Apple +37.67%, NVIDIA +21.09% and Microsoft +5.93%. Approximate 12-month crypto price changes were BTC –27.9%, ETH –32.4% and SOL –37.4%. These are not perfectly like-for-like because stock total returns may include dividends while crypto figures are price changes. Dates also differ slightly. The comparison demonstrates the importance of consistent periods and return definitions.



Interpretation

Past performance is descriptive, not predictive. A strong year can reflect higher earnings, multiple expansion, market sentiment or several factors together. A negative year can reflect lower demand, liquidity pressure, profit-taking, regulatory concerns or changes in expected future returns. Before comparing assets, investors should align dates, include fees and distributions where relevant, and examine drawdowns as well as endpoint returns.

4. Risk management framework

Diversification

Spread investments across companies, industries, geographies and asset classes. Three technology shares alone are not broad diversification because they may respond to the same interest-rate, AI-spending and market-sentiment shocks.

Position sizing

Set a maximum percentage for any one stock, sector or cryptoasset. Size high-volatility holdings so a severe fall does not jeopardize essential expenses or long-term goals.

Emergency reserve and leverage

Keep emergency cash separate. Avoid borrowing to invest, especially in volatile assets, because losses can force selling at poor prices and may exceed available cash.

Rebalancing

Set a calendar review, such as every six months, and an allocation-drift threshold. Consider fees, taxes and liquidity before rebalancing.

Due diligence

For stocks, review audited statements, cash flow, debt, valuation, management and competition. For crypto, examine protocol documentation, token supply, security history, custody and exchange quality.

Operational security

Use unique passwords, multi-factor authentication and secure devices. Protect wallet recovery phrases and do not approve transactions without understanding them.

Behavioural discipline

Avoid panic buying, fear of missing out and social-media-only decisions. Keep a log of the thesis, risks, entry date and reasons for exiting.

5. Sector outlook: themes and risks

AI and cloud computing

Demand for computing capacity, cloud migration and AI-enabled tools may support revenue growth. Investors should distinguish durable demand from speculative spending. Risks include costly infrastructure, energy constraints, model commoditization, chip concentration, regulation and valuations that assume exceptional growth.

Cybersecurity

Digital services and AI-driven threats increase demand for identity protection, secure cloud systems, monitoring and incident response. Risks include intense competition, budget pressure, product failures and rapid changes in attack methods.

Renewable energy and grid infrastructure

Electrification, energy security and decarbonization may support generation, storage, transmission and efficiency. Returns depend on project economics, rates, permits, grid access, supply chains, subsidies and power prices. A positive social theme does not guarantee attractive company returns.

Healthcare and medical technology

Ageing populations, diagnostics, medical devices and selected biotechnology may create long-term demand. Risks include clinical-trial failures, reimbursement changes, regulation, intellectual-property expiry, pricing pressure and uncertain adoption.

6. Scenario-based strategy

Scenario	Possible effect	Practical response
Growth / easier conditions	Risk assets may benefit; growth valuations may rise.	Maintain target allocation; avoid chasing spikes; check valuation.
High inflation / higher rates	Expensive growth stocks and leveraged projects may face pressure.	Stress-test debt and valuation; retain liquidity; diversify.
AI spending slowdown	AI-linked firms may face slower orders or valuation compression.	Check realized revenue and whether expectations are realistic.
Crypto market stress	Liquidity may vanish quickly; prices may gap down.	Limit exposure; avoid leverage; check custody and exchange risk.
Regulatory/security shock	Firms may face sudden costs or restrictions.	Monitor official announcements; reassess fundamentals.

7. Findings and discussion

First, returns vary considerably between individual assets: even prominent companies produce different outcomes, while several cryptoassets can decline together. Second, headline returns alone are inadequate. Valuation, volatility, drawdown, liquidity, fees and holding period should be assessed together. Third, sector themes are a starting point for research, not a substitute for company-level due diligence. A promising industry can still contain overvalued, poorly financed or uncompetitive firms.

8. Conclusion and recommendations

Stocks and cryptoassets have different economic foundations and risk profiles. Public equities are linked to business cash flows and governance, while crypto prices can be especially sensitive to network adoption, liquidity, security and sentiment. Investors should set goals, diversify, size positions conservatively, avoid leverage, review costs and custody, and document decisions. AI/cloud, cybersecurity, renewable energy and healthcare are important themes to research, but results depend on execution, valuation, competition and regulation. This report is educational and does not recommend buying any named asset.

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Limitations: sources accessed 18 Oct 2026. Market-cap/P-E dates differ and crypto windows vary by a few days; verify values on submission date.